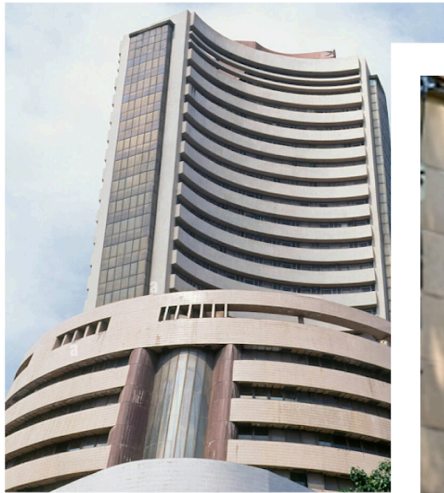


General Knowledge

Indian Economy

STUDY NOTES

Goods and Services Tax



GOODS AND SERVICES TAX



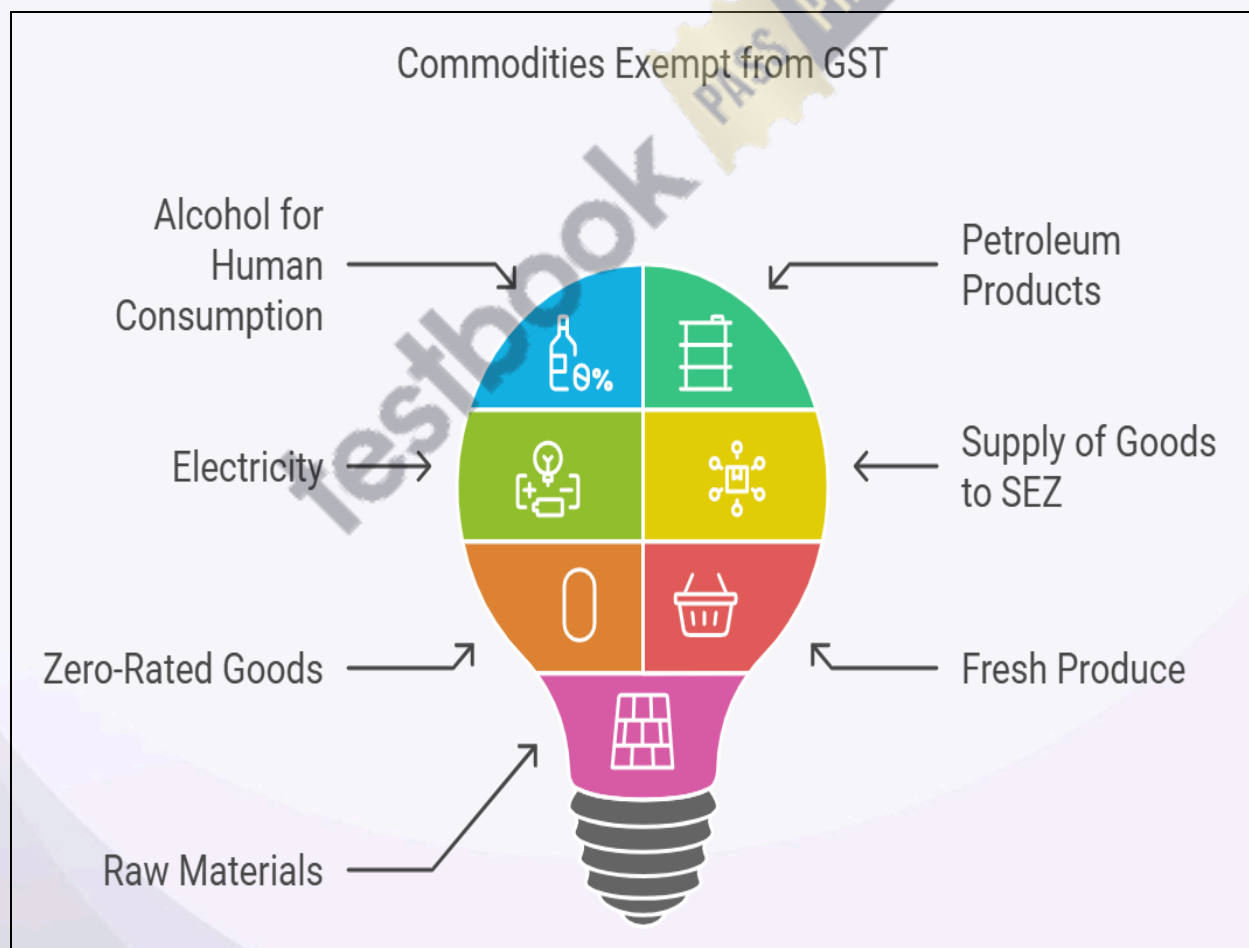
Goods and Services Tax (GST)

- Established by the **101st Constitutional Amendment Act**, on the lines of “**One Nation One Tax**”.
- The **Parliament** and the **state legislatures** have **concurrent powers** to implement **GST**.
- It is a **destination-based single tax**.
- **Tax slabs** are **0%, 5%, 12%, 18%, 28%**.
- **3 taxes** are applicable within **GST**:
 - **Centre levies the CENTRAL GST (CGST)**
 - **State levies STATE GST (SGST)**
 - **Centre levies INTEGRATED GST (IGST)** on transactions.
- **Parliament** will compensate for any loss faced by the **state**.
- **Lottery, Gambling, and Betting** are also taxable under the **Goods and Services Tax (GST) Act, 2017**.

Legislation Enabling GST Implementation in India

Legislation	Details
Central GST Act, 2017	Governs GST at the central level
Integrated GST Act, 2017	Governs inter-state transactions
GST (Compensation to States) Act, 2017	Provides compensation to states
Union Territory GST Act, 2017	Governs GST in Union Territories
GST Constitutional 101 Amendment Act, 2016	Establishes the legal framework for GST

Commodities Outside GST



Benefits of GST in India

Category	Benefits
For Government	- Increase tax compliance - Discourage tax evasion and Expand the tax base - Taxation Streamlining and Reduce corruption
For Overall Economy	- Create a unified common market and Bring about certainty - Poverty reduction and Enhanced investment
For State	- Boost the secondary sector and Increase compliance - Improve investment scenario

GST Council:

- It is a **Constitutional body** under **Article 279A**.
- **Decision** – majority of **3/4th members**.
- **A quorum** is **1/2** of the total number of members of the **council**.

Union Representations:

- **Chairperson: Union Finance Minister**
- **The Minister of State for Revenue (Central Government)** will be a member.
- **1/3rd voting share**

State Representations:

- **The Minister of Finance** from each **State** or **Minister nominated** by the **States** will be its member, including **Delhi** and **Puducherry**.
- **2/3rd voting share**
- Members of the **Council** from the **states** have to choose **1 amongst themselves** to be the **Vice-chairperson** of the **council**. They can also decide his **term**.

GST Composition Scheme:

- It is an **option** available to a **registered taxpayer**.

- **Small taxpayers** can get rid of tedious **GST formalities** and pay **GST** at a **fixed rate of turnover**.
- This scheme can be opted by any **taxpayer** whose turnover is less than **Rs. 1.5 crore**. In the case of **North-Eastern states** and **Himachal Pradesh**, the limit is now **Rs 75 lakh**.

Advantages:

- Lesser **compliance** (returns, maintaining books of record, issuance of invoices).
- **Limited tax liability**.
- High **liquidity** as taxes are at a lower rate.

Disadvantages:

- Limited territory of **business**.
- No **Input Tax Credit** is available to **composition dealers**.
- The taxpayer will not be eligible to supply **non-taxable goods** under **GST** such as **alcohol** and goods through an **e-commerce portal**.

Key Organizations Driving GST Implementation in India

- **National Anti-Profitteering Authority (NAPA):**
 - Under the **Central Goods and Services Tax Act, 2017**.
 - It is the **institutional mechanism** to check unfair profit-making activities by the **trading community** and to ensure that the benefits of the **GST** are passed on to the consumers.
 - **NAPA** is headed by a senior officer of the level of a **Secretary** to the **Government of India** and shall have **four technical members** from the **Centre** and/or the **States**.
- **GSTN Network:**
 - It is a **non-profit, government organization**.
 - It will manage the entire **IT system** of the **GST portal**.
 - **100% of shares** are owned by the **Centre** and **State government**.
 - It will establish a **uniform interface** for the **taxpayer** and also create a common and shared **IT infrastructure** between the **Centre** and **States**.
 - The **GSTN** will handle **Invoices + Various returns + Registrations + Payments & Refunds**.

E-Way Bill System in India's Taxation Framework

- It is an **electronic way bill** for the movement of **goods** that can be generated on the **e-Way Bill Portal**.
- It was launched to:
 - Facilitate **faster movement** of **goods**.
 - Improve the **turnaround time** of vehicles.
 - It helps track **intra-state** as well as **inter-state movements** of **goods** of value exceeding **Rs 50,000**, for sales beyond **10 km** in the **Goods and Services Tax (GST)** regime.

Regulatory Frameworks in International Taxation

General Anti-Avoidance Rule (GAAR):

- **Introduction:** **GAAR** is a set of regulations designed to prevent taxpayers from exploiting legal **loopholes** to avoid paying **taxes**. It is a principle-based framework to counter aggressive **tax** planning and **tax** avoidance strategies.
- **Implementation in India:** **GAAR** came into effect in **India** on **April 1, 2017**, under the **Income Tax Act of 1961**. It applies to business arrangements primarily focused on gaining **tax advantages**.

Double Taxation Avoidance Agreement (DTAA):

- **Introduction:** **DTAA** is a **tax treaty** between two or more **countries** to avoid taxing the same **income** twice. The primary objective is to promote **cross-border trade** and **investment** by ensuring taxpayers are not double-taxed.
- **Key Provisions:**
 - **Methods of Relief:** **DTAAs** use either the **exemption method** (income is taxed only in one **country**) or the **credit method** (tax paid in one **country** is credited in another).
 - **India's DTAA Network:** **India** has signed **DTAAs** with more than **90 countries**, including major **economies** like the **USA**, **UK**, and **UAE**.

Hawala Transactions:

- **Introduction: Hawala** is an **informal method** of transferring money without actual movement of funds. It operates outside the formal **banking system** and is commonly used for **money laundering, terror financing, and tax evasion**.
- **Mechanism:** The process involves **brokers (hawaladars)** who settle payments through a system of mutual trust. No legal **documentation** is involved, making it difficult for authorities to trace **transactions**.
- **Legal Implications:** **Hawala transactions** are illegal under the **Foreign Exchange Management Act (FEMA)** and the **Prevention of Money Laundering Act (PMLA)** in **India**.

Place of Effective Management (PoEM):

- **Introduction: PoEM** is a concept used to determine the **tax residency** of a **company**. It refers to the place where key **management** and **commercial decisions** necessary for the conduct of the company's **business** are, in substance, made.
- **Applicability in India: PoEM** was introduced in **India** under the **Income Tax Act (amended in 2017)**. A **foreign company** is considered a **resident in India** if its **PoEM** is in **India**.

Base Erosion and Profit Shifting (BEPS):

- **Introduction: BEPS** refers to **tax planning strategies** that exploit gaps and mismatches in **tax rules** to artificially shift profits to **low or no-tax locations**, resulting in little or no overall corporate tax being paid.
- **Global Context:** The **BEPS** initiative was launched by the **OECD** in **2013** to combat harmful **tax practices** and increase transparency in global taxation.

Global Minimum Corporate Tax:

- **Introduction:** The **global minimum tax** is a part of the **OECD/G20 BEPS framework**, primarily aiming to set a global **floor rate** that prevents multinational companies from shifting profits to **low-tax jurisdictions**.
- **Key Aspects:**
 - **Agreed Rate:** The **OECD** has proposed a global minimum tax rate of **15%**.

- **Pillar Two:** This initiative involves implementing a global minimum tax to ensure that large multinationals pay a **minimum level of tax** regardless of where they are headquartered or operate.

Key Terms Related to Taxation:

Tax Base:

- In the context of the **Taxation System**, the term “**Tax Base**” refers to the total **value of goods, services, and incomes** that are subject to **taxation** by a **government authority**.
 - **Broadening of the Tax Base** means that a wider range of **goods, services, income**, etc., has been made subject to a **tax**.

Tax Revenue:

- In the context of the **Taxation System**, “**Tax Revenue**” is the **income** that a **government** collects from **taxes** imposed on **individuals, businesses**, and other entities.

Adjusted Tax Revenue:

- In the context of the **Taxation System**, **Adjusted Tax Revenue** refers to **tax revenue** calculated after setting aside the change in **tax revenue** due to **discretionary changes**.

Tax Buoyancy:

- In the context of the **Taxation System**, **Tax Buoyancy** refers to the **responsiveness of tax revenue growth** to changes in the **Gross Domestic Product (GDP)**.
 - It measures how much **tax revenue** increases or decreases when the **economy** grows or shrinks without any changes in **tax rates**.
 - **Tax Buoyancy** is measured as follows:
 - **Tax Buoyancy = Proportionate change in tax revenue/proportionate change in GDP**

$$\text{Tax Buoyancy} = \frac{\% \text{ Change in Tax Revenue}}{\% \text{ Change in GDP}}$$

Tax Elasticity:

- In the context of the **Taxation System**, **Tax Elasticity** refers to the **responsiveness** of **tax revenue growth** to changes in **tax rates**.
 - It measures how much **tax revenue** increases or decreases when the **tax rate** is increased or decreased, assuming everything else stays the same, like **economic activity**.
 - **Tax Elasticity** is measured as a proportionate change in **tax revenue**, without any **discretionary change**, relative to **GDP**.
 - **Tax Elasticity = Proportionate change in Adjusted Tax Revenue/proportionate change in GDP**
 - Thus, **Tax Buoyancy** accounts for the total change in **Tax Revenue**. However, **Tax Elasticity** accounts for only an **automatic increase** in **Tax Revenue**.

$$\text{Tax Elasticity} = \frac{\% \text{ Change in Tax Revenue}}{\% \text{ Change in Economic Activity (Base)}}$$

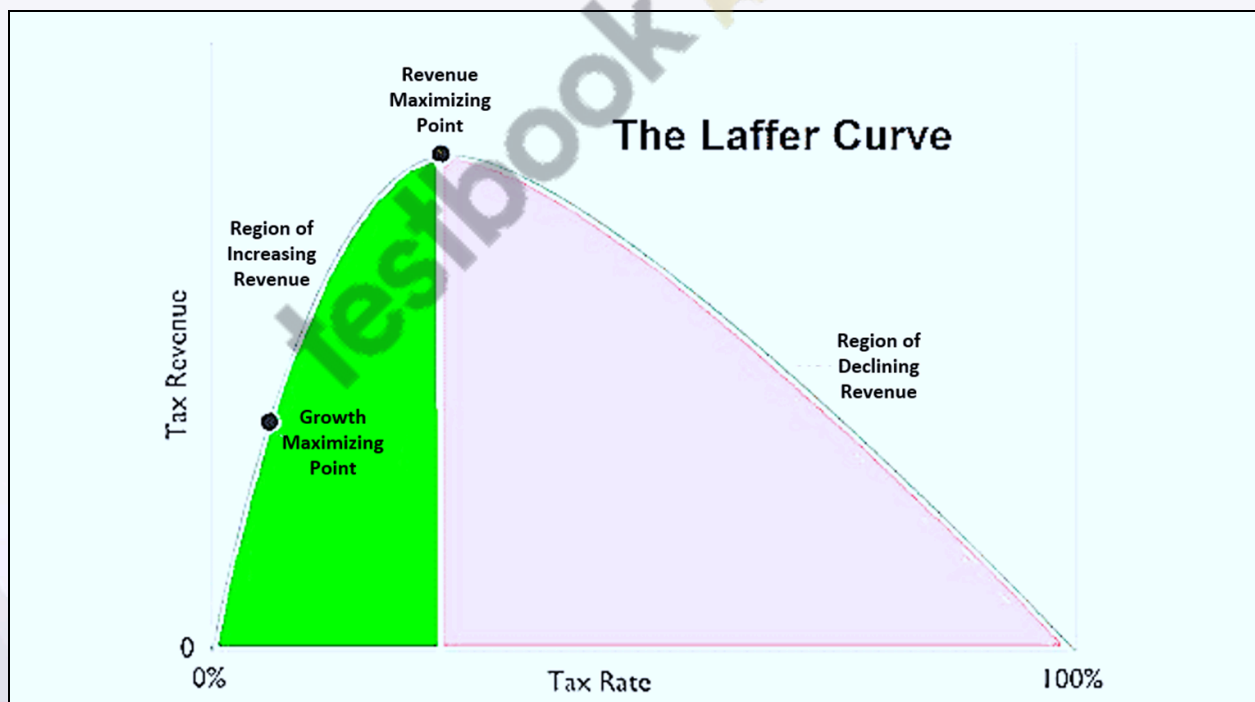
Tax to GDP Ratio:

- **Tax to GDP Ratio** is a measure that compares a country's total **tax revenue** to its **Gross Domestic Product (GDP)**.
 - It provides an indication of the **government's ability** to generate **revenue** relative to the size of the **economy**.
 - It is expressed as a **percentage** of the **GDP**.
 - **Tax to GDP Ratio = (Gross Domestic Product (GDP)/Total Tax Revenue) × 100**
 - A higher **Tax to GDP ratio** means that the **government** is able to cast its **fiscal net wide**, and hence is less dependent on **borrowings**.
 - Thus, the higher the **Tax to GDP ratio**, the better the health of the **taxation system**, and the better **financial position** the **country** will be in.

Laffer Curve:

- The **Laffer Curve** was invented by **Arthur Laffer**.

- It shows the relationship between **Tax Rates** and **Tax Revenue** collected by the **government**.
- The shape of the **Laffer Curve** is **inverted U**, which depicts that:
 - At a **0% tax rate**, the **government** collects no **tax revenue** (represented by the leftmost point of the curve at the bottom).
 - As the **tax rate** increases from **0%**, **government tax revenue** initially increases.
 - There's a theoretical **sweet spot** on the curve where the **tax rate** generates the maximum amount of **tax revenue** for the **government**.
 - This point is often referred to as the **Optimum Tax Rate**.
 - Beyond the **optimal point**, if **tax rates** continue to rise, **government tax revenue** starts to decrease.
 - This is because high **tax rates** can discourage **economic activity**, incentivize **tax avoidance**, or lead to reduced **income levels**.
- So, overall, the **Laffer Curve** says that at a **lower** as well as **higher rate of tax**, the **tax revenue** is low. But, at the **optimal rate of tax**, the **tax revenue** is high.



Pigovian Taxes:

- **Pigovian Tax**, named after the **British economist A.C. Pigou**, is a **tax** imposed on activities that generate **negative externalities** (unintended adverse effects) on third parties or society.
 - The primary purpose of a **Pigovian Tax** is to correct **market inefficiencies** by internalizing the external costs associated with certain **economic activities**, thereby aligning **private costs** with **social costs**.
 - For example, the **Carbon Tax** is a form of **Pigovian Tax**, which aims to discourage **fossil fuels** and encourage **renewable sources** to tackle **climate change threats**.

Tobin Tax or Financial Transaction Tax (FTT) or Robin Hood Tax:

- **Tobin Tax** is named after **American economist James Tobin**.
 - **Tobin Tax** is also known as **Financial Transaction Tax (FTT)** or **Robin Hood Tax**.
 - It is a proposed **tax** on **currency transactions** with an aim to reduce **speculative trading** in the **foreign exchange markets**.
 - It is important to note that it proposes taxing only **short-term speculative currency transactions**.
 - Thus, **long-term investment**, such as **FDI**, will not suffer from **Tobin Tax**, as it does not invest for **speculative (short-term)** reasons like **FIIs**.

Robot Tax:

- **Robot Tax** is a proposed levy on the use of **robots** and **automation technologies** in the workplace.
 - The underlying idea is to address the **economic** and **social impacts** of increasing **automation**, particularly the **displacement of human workers** and the consequent loss of **income tax revenue**.
 - The concept of a **robot tax** has gained attention as advancements in **robotics** and **artificial intelligence (AI)** accelerate, raising concerns about **job losses** and **economic inequality**.

Presumptive Tax:

- **Presumptive taxation** is a simplified **taxation system** designed for **small businesses** and **professionals** with a relatively low **turnover**.

- Unlike the traditional approach where **expenses** are deducted from **revenue** to find **taxable income**, **presumptive taxation** estimates **income** based on a pre-determined **percentage** of total **business turnover**.
- This eliminates the need for **businesses** to maintain detailed **expense records**, simplifying **tax filing** and reducing **administrative costs**.
- Only **small businesses** and **professionals** with a **turnover** below a set maximum **threshold** are eligible under the **presumptive taxation scheme**.

Tax Deduction at Source (TDS):

- **Tax Deduction at Source (TDS)** is a mechanism of **income tax collection** under the **Taxation System** in **India**.
 - A **person (deductor)** who is liable to make payment of a specified nature to any other **person (deductee)** shall deduct **tax at source** and remit the same into the account of the **Central Government**.
 - For example, an **employer** deducts **TDS** from the **salary** paid to an **employee**.
 - It ensures that the **government** collects **tax** as soon as the **income** is earned, rather than waiting for the end of the **financial year**.

Tax Shelter:

- In the context of the **Taxation System**, **Tax Shelter** refers to a **legal strategy** or **investment vehicle** used by **individuals** or **businesses** to reduce their **taxable income** and overall **tax liability**.
 - These **shelters** take advantage of provisions in **tax laws** to minimize the amount of **tax owed** to the **government**.
 - A **tax shelter** is entirely different from a **tax haven**.
 - **Tax Shelter** is a **legal way** existing within the **country** to reduce **tax liability**.
 - A **Tax Haven** is a place existing outside the **country** that provides an **illegal way** of reducing **tax liabilities**.

Tax Haven:

- In the context of the **Taxation System**, a **Tax Haven** is a **jurisdiction** or **country** that offers favourable **tax laws** and **financial regulations** to **individuals** and **businesses**, allowing them to minimise their **tax liabilities** legally.

- **Tax havens** typically provide **low or zero tax rates** on certain types of **income**, as well as strict **financial privacy** and **confidentiality laws**.
- These **jurisdictions** attract **individuals** and **corporations** seeking to reduce their **tax burdens**, protect their **assets**, and maintain **financial privacy**.
- Some prominent examples of **Tax Havens** are – **The Cayman Islands, Hong Kong, Mauritius, Panama, Switzerland**, etc.

Tax Avoidance:

- In the context of the **Taxation System**, **Tax Avoidance** refers to the **legal means** by which **individuals** and **businesses** structure their **financial affairs** to minimise their **tax liabilities** within the bounds of the **law**.
 - There are provisions in the **law** that allow one to **save and invest** in a manner that leads to a reduction in **taxable income**. If these provisions are used for benefit, it is called **Tax Avoidance**.
 - Unlike **Tax Evasion**, which involves **illegal activities** to evade **taxes**, **Tax Avoidance** involves exploiting **legal loopholes, exemptions, deductions**, and other provisions in **tax laws** to reduce the amount of **tax owed**.

Tax Evasion:

- In the context of the **Taxation System**, **Tax Evasion** is the **illegal act** of deliberately **underreporting** or **concealing income, assets**, or **financial transactions** to avoid paying **taxes** owed to the **government**.
 - Unlike **Tax Avoidance**, which involves **legally minimizing tax liabilities** through strategic **financial planning** and compliance with **tax laws**, **Tax Evasion** involves fraudulent and deceptive practices aimed at **evading taxes** and circumventing **tax obligations**.

Cess:

- **Cess** is a form of **tax** levied by the **government** on top of an existing **tax**. Thus, it is a **tax on tax**.
- It's typically imposed for specific purposes and often earmarked for those purposes.
- For example, **Education Cess, Swachh Bharat Cess**, etc.

Surcharge:

- Similar to **Cess**, a **Surcharge** is an additional fee or **tax** added on top of an existing **charge**.
 - It differs from a **Cess** in that while a **Cess** is levied and used for a specific purpose, a **Surcharge** can be used for multiple purposes.

